

# WCF

## WCF Ltd Annual Report & Financial Statements 2025



**Niche Retailing**



**Specialist Distribution**



**Leisure**

# WCF LTD

## Our Vision

To hand WCF over to future generations of employees in a stronger financial position for the future than when we inherited it, so that they can benefit from its continued existence and resilience.

## Our Mission

To create a workplace where every individual matters and has a unique opportunity to make a difference to our performance with meaningful, diverse and interesting roles.

## THE GROUP

### RETAIL

WCF Pet & Equestrian  
WCF Home Shopping - Country Collection  
- James Meade  
- The Classic Boutique  
Bella di Notte

### DISTRIBUTION

WCF Fuels North West  
WCF Chandelers  
Allan Stobart Lubricants and Fuels  
A1 Lawn  
Progreen Weed Control Solutions

### LEISURE

Herdin Hill Farm  
Drummohr  
Longnor Wood

## DIRECTORS AND OFFICERS

### NON EXECUTIVE

M.S. Ward F.C.A.  
D. Sowards - resigned 13.12.24

### REGISTERED OFFICE

Craw Hall  
Brampton  
Cumbria  
CA8 1TN

### EXECUTIVE

Executive Chair - J.L. Ritzema F.C.A. CDir  
Chief Executive Officer - P.J. Murray F.C.A.  
Chief Operating Officer - A.J.C. Mochrie A.C.M.A.  
- appointed 1.6.25

Website: [www.wcf.co.uk](http://www.wcf.co.uk)

### COMPANY SECRETARY

P.A. Murray A.C.M.A.

### BANKERS

HSBC Bank plc  
Lancashire Com. Centre  
1 Forest Green  
Caxton Road  
Fulwood  
Preston PR2 9LJ

### SOLICITOR

Knights PLC  
2 Merchant's Drive  
Carlisle  
CA3 0JW

### AUDITOR

Dodd & Co Audit Limited  
FIFTEEN Rosehill  
Montgomery Way  
Rosehill Estate  
Carlisle  
CA1 2RW

# CHAIR'S STATEMENT

## FINANCIAL RESULT

24/25 was yet another challenging year. However, total operating profits remained consistent with the prior year at £1.3m. This was the first full year of trading for Bella di Notte since its acquisition in Dec-23 and results exceeded expectations. For more information, please read our individual Operating Reviews on pages 4 to 9.

The business was adversely impacted by a number of external factors, notably the absence of a cold winter, a 6.7% increase in the National Living Wage implemented in Jan-25 and an increase in employer's national insurance contributions in Apr-25. We remain committed to ongoing investment to steadily improve the earnings of our lowest paid employee owners.

Overall revenues fell by 12.5%, with fuels revenues being down £36.5m or 16.6%, in a year where global oil prices fell gradually in the absence of any significant adverse global events to impact supply. The average price of Brent crude was around \$76 a barrel during the financial year, about 9.6% lower than the previous year.

Underlying activity decreased, with fuels volumes 6% down on last year but there was a 6.8% increase in the average pence per litre achieved due to a change in the product mix supplied. Volumes were adversely impacted in Cumbria following the closure of Dalston terminal in Jan-25, adversely impacting our ability to service larger volume commercial work previously supplied from this location.

Excluding Fuels, revenues rose £0.8m or 2.7%, which included a 39% increase in revenue from Bella di Notte, reflecting the first full year of trading results since acquisition in Dec-23. The trade and assets of Bella di Notte Limited were hived up into WCF Ltd in Jan-25.

## CASHFLOW

Group shareholders' funds fell from £36m to £34.3m. Cash at bank and investments fell from £10m to £9.4m following further capital investment in our leisure sites and the early repayment of the £3m loan taken to fund the purchase of Bella di Notte Limited.

We generated cash of £4.2m from operating activities, up £1.0m on last year.

Capital expenditure increased marginally from £1.0m to £1.4m. Major items of investment included a new order processing system for our Pet & Equestrian business, lodge refurbishments at Longnor Wood, a new roof and solar panels at our Head Office site and additional warehouse racking at Bella di Notte.

## BOARD CHANGES

Following my decision to retire from WCF in Nov-25 there were a number of Board changes. To facilitate my succession, our Deputy Managing Director Phil Murray was promoted to Chief Executive Officer and Andrew Mochrie was recruited and appointed Chief Operating Officer. Andrew is a qualified accountant with significant experience in logistics, technology and e-commerce businesses and was subsequently appointed to the Board in Jun-25. He will lead our digital transformation projects.

Martin Ward will take over as Chair upon my retirement in Nov-25, having served as an independent director on the Board since Oct-07.

Dave Swards resigned from the Board in Dec-24.



Andrew Mochrie

## **WCF LTD RETIREMENT BENEFIT SCHEME**

On 20 May 2025, the Independent Trustee of the Scheme entered into a buy-in contract with Legal & General ('L&G') to match all future benefit payments to members of the Scheme who had not yet retired at the purchase date. This contract is in the name of the Trustee and will provide monthly payments to the Scheme's bank account which will in turn be used to make payments to Scheme members as they fall due. This significantly reduces the risks associated with the provision of a defined benefit pension to those members and their spouses over time (including member longevity, inflation assumptions and investment returns).

The effect of this is to significantly enhance the long-term strength of the company balance sheet.

The intention of the Trustee and Company is that the Scheme will proceed to be wound up once all member benefits have been individually secured with L&G. This process is likely to take around 12-18 months.

Under the accounting requirements of FRS102 this transaction has resulted in an exceptional debit to the profit and loss account of £1.5m. This is shown as a pension related charge in note 20 of the financial statements and, as we believe this significantly alters the understanding of the financial statements, on the face of the P&L.

## **DIVIDEND**

A copy of the Dividend Policy, which links shareholder income directly to our current year results, is included at the rear of this Annual Report.

The directors have declared a dividend of 15.0 pence per share, which represents 34.7% of the adjusted profits and a dividend cover of 2.9 This will be paid on or before 1st November 2025 to all shareholders on the register of members at 12th September 2025.

## **AGM**

There are no matters arising that are required to be put to the shareholders at an Annual General Meeting. The holding of such meeting is not a legal requirement for a private limited company that does not have its shares admitted to trading on a regulated market in an EEA state, nor is it mandatory under our Articles of Association. The directors believe that their approval of the annual report and accounts and the declaration of the dividend are in the best interests of the Company and its shareholders as a whole.

## **OUTLOOK**

Our focus remains on ensuring that we exploit the use of technology and data to drive efficiencies and identify opportunities for deeper collaboration across our business streams of retail, leisure and fuel distribution. Our businesses are well positioned in the markets they serve to increase market share and demonstrate resilience when trading conditions are challenging. We have both medium and long-term growth strategies in place to expand our operations in those niche markets we chose to serve. Furthermore, our colleague engagement levels continue to increase year-on-year, building a culture that can support and initiate change.

On behalf of the Board, in what is my last Annual Report after almost 22 years with WCF, I would like to thank every employee owner for their continued loyalty and commitment to the sustained success of the WCF legacy. It really is a special place to work. The challenging external climate means that some of our strategic initiatives are not yet generating the financial success they deserve, but this does not mean that we do not recognise and appreciate the hard work and commitment that is going into their execution.

JL Ritzema – Executive Chair

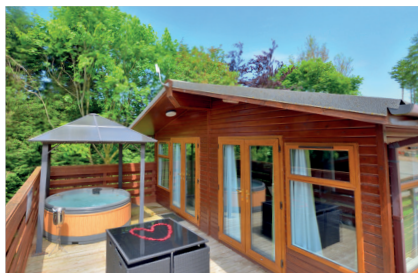


# ANNUAL SUMMARY

## LEISURE

The combined EBITDA for Leisure rose by £0.3m on last year, with all 3 sites posting increases. Revenues were up 15.2% but fell short of our own targets by 5.7%. Some of this arose from an increase in discounting.

Occupancy remained a challenge as families prioritised other things over short term breaks and the Summer was extremely wet. Choice in the market also increased. Overall days let were up 9.9% on last year and the number of arrivals rose 14.1% as people favoured 1-night weekend bookings. We are partnering with more national listings to boost brand awareness and continuing with initiatives such as 1-night stays and any day arrivals to give guests maximum flexibility.



We are confident that the offering from the sites is strong, with all sites maintaining their AA 5-star rating. Overall, we received 85% 5-star guest reviews in the year and continue to win national awards. Drummohr was voted Scottish site of the year at the recent Scottish Hospitality Awards and Longnor Wood Heart of England Campsite of the Year by the AA. This has enabled us to achieve positive PR from the national press, including a partnership with Dog Friendly Magazine to understand more about the motivations and behaviours of people who holiday with their pets. We increased our own dog friendly amenities as a result of feedback received.

**DRUMMOHR** had another strong year, with revenues up 15.5%, as we continued our strategy of tying our marketing into key events in and around Edinburgh. This was boosted by the festival, marathon and several music concerts. To address the desire from guests for cheaper stays we re-configured some of our glamping bothies to provide more flexible accommodation. This is helping increase glamping occupancy.



Despite a drop-off in family glamping, **HERDING HILL FARM** increased its revenues by 8.2%. We have yet to achieve the desired occupancy ratios for our adults only Castle Pods, despite offering more dog friendly accommodation. As a result, we have started partnerships in 25/26 with Hoseasons and PitchUp. The conversion of 5 grass tent pitches into hard-standing helped boost Winter revenues.

Revenues were up 20.7% at **LONGNOR WOOD**, helped by recent lodge refurbishments. New amenities for tourers were added, including accessible bathroom, larger laundry, refurbished reception and indoor campers kitchen.

There remains considerable scope to boost our leisure revenues, with average occupancy for the year only 45.3%. Mid-week occupancy will be a focus, as well as expanding our digital marketing to use videos to find new audiences. We will continue to use our guest app to drive repeat bookings and improve the overall guest experience. Our first Leisure General Manager, Patrick Stewart joined us in May-25, which will ensure greater strategic focus on the division, as well as facilitating the management succession at Herding Hill Farm following the retirement of Sue and Phil Humphreys.

## FUEL OIL DISTRIBUTION

Combined profits were 5.4% down on last year and total volumes were also down by 6% as a result of another mild and wet winter. However, average bulk pence per litre margin was 6.8% higher than last year.

During the year, we saw the both the closure of the oil refinery operation at Grangemouth and the oil terminal at Dalston. Both closures have meant that our drivers are now travelling further, and for longer, to collect oil meaning our ability to service forecourt customers with petrol has been curtailed, especially in more remote areas.



Periods of price instability or supply constraints tend to increase margin due to the uncertainties they engender in the marketplace. However there has been an absence of any significant adverse events in recent years meaning margins have been normalised. At times like these there remains excess capacity in the fuel distribution sector meaning consumers are better able to negotiate, as well as being able to keep their tanks at minimum levels without the risk of run outs. Because of the rising depot maintenance and tanker costs, the industry is typically slow to react in terms of an overall reduction in capacity resulting in additional competition for the work that is there.

We are playing an active role in the energy transition and Phil Murray, our Chief Executive, is the current President of UKIFDA (United Kingdom and Ireland Fuel Distributors Association). UKIFDA lead discussions with government around the proposed transition to renewable fuels and the resilience of the UK's oil supply infrastructure. Our businesses are equipped to deliver the new fuel, but the price differential is currently too cost prohibitive for it to be a realistic ongoing alternative for our customers.

Our focus has been on targeting new and lapsed customers, improving our levels of customer loyalty to encourage them to order direct as well as increasing our on-line offer. This has been successful. Merging our commercial and domestic teams has also been beneficial and our senior leaders have been upskilled through formal training programmes.

Following the merger of our two East coast distribution businesses at the start of the financial year, we continued to trade through both brands (WCF Fuels North East and WCF Chandelers) in 2024/25. From June 2025, both businesses will now trade as **WCF CHANDLERS** to create further efficiencies and streamline processes. This will also allow the businesses to adapt more quickly to the changes in the upstream supply chain, most notably following the administration of Prax at Immingham on 30th June 2025.



Our businesses in the West have again had a more successful year and will continue to operate independently. Although volumes at **ALLAN STOBART LUBRICANTS & FUELS** fell by 11.4%, largely due to a reduction in larger commercial loads forced by the closure of the Dalston terminal in Dec-24, margins increased by 18.2%. Kerosene volumes increased 2.7% despite the mild winter, due to higher-than-average levels of customer loyalty in the area and development of additional online sales channels.



**FUELS NORTH WEST** saw volumes increase by 5.3% but saw margins fall by 11.8%. The management team at Carnforth has now been re-structured and Alex Young, formerly Commercial Manager, has been promoted to General Manager.

We continue to focus on driving efficiencies through technology and during the year have fully implemented a new in-cab computing solution, developed primarily for the fuel delivery industry, to streamline operations and improve driver safety and efficiency. We will also continue to focus on growing our online sales orders and reducing the amount of fuel we bring back to our wet depots each day. To reduce the risk of unplanned downtime across our fleet, we are committed to refreshing our tankers on a regular cycle of no more than 8 years and have recently improved the specification of our standard tanker to improve reliability and therefore decrease downtime.





## NICHE RETAILING

Net revenues in HOME SHOPPING were 1.7% down on last year. Gross margin % increased by 1.3%, overheads reduced by 2.3% and profits were down by 15% as a direct result of the decline in sales.

Response rates were in line with previous year in all our ladies' catalogues and we have recently completed a review of our brand portfolio and implemented changes in both 'The Classic Boutique' and 'Country Collection', however the results of these changes will not be seen until late 2025. Further changes are planned for 'James Meade' in 25/26 to ensure every brand has a clear and compelling proposition.



Following the success of postcard campaigns, we took these learnings and applied similar incentives on the front covers of our catalogues. Furthermore, we tactically moved more to 'free postage' incentives as opposed to discounts or reductions and this has protected margin whilst maintaining our response rates. Refund and return levels have remained broadly similar to last year, and the Home Shopping team are working in collaboration with the garment technician at Bella Di Notte to improve our size guides which should reduce returns.

Our media costs have fallen by reducing the number of catalogues we are posting each year. With further improvements in data analytics, we are targeting our mailing to those customers most likely to convert. Furthermore, online sales increased by 3.6% over the prior year which was in line with our expectations around customer buying habits. Using our data warehouse, we are now dynamically presenting products to customers on our websites to optimise average order value. The use of the data warehouse will be further enhanced in 25/26, and we will be moving to a new web platform which will further enhance our online capabilities.



24/25 marked **BELLA DI NOTTE's** first full financial year under WCF ownership, following its acquisition in Dec-23. The business has delivered strong revenue growth and operational progress, exceeding expectations, whilst successfully integrating into the WCF portfolio. Thanks to the collaboration and shared vision of the existing team we are able to run that business without a full time General Manager.

The actively mailed database has grown by 71%, reflecting investment in direct marketing and broader reach. Online sales account for 50% of total revenue, driven by integrated touchpoints including catalogue mailings, pay-per-click, email flows, basket recovery and retargeting. The catalogue remains a key sales channel, underpinning digital performance through coordinated campaigns.

The Bella Denim Collection, launched in Dec-24, received a strong customer response, improved both margin and brand strength, aligning with our ‘Fashion That Fits’ ethos. Our fashion collections are carefully curated around colour coordination and themes, giving customers a new reason to buy and helping them build versatile, wearable wardrobes. The introduction of lifestyle-led photography has enhanced storytelling across print, social, and web, allowing us to repurpose creative assets and strengthen brand consistency.

With new warehouse capacity and racking and a warehouse management system now fully operational, the business is well positioned for future growth. Customers can now back-order items that are temporarily out of stock, improving availability without the risk of overstocking. Print, fulfilment, and parcel contracts have been renegotiated, delivering significant cost savings.



Looking ahead, the focus is on strengthening digital capability, product strategy, and operational efficiency. The website will be rebuilt on a new platform for a mobile-first customer, improving speed, search, product recommendations, and the checkout experience. Mobile-friendly payment methods, including Apple Pay and Google Pay, have been introduced, and AI-powered chatbots will support size guidance and customer service.

Sales at **PET & EQUESTRIAN** saw another decline in like for like revenues, falling 6.2% year on year, and average gross margin decreased by 0.7%. The pet food sector has softened with a return to levels of trading experienced pre-pandemic.



The total number of transactions in store was down 7.5%, with average spend similar to the prior year. Pet sales remain at 60% of the total, similar to last year, with 28% of all sales being own brand despite significant focus on our Lakes Collection products. We have signed a partnership agreement with Lake District Mountain Rescue Search Dogs to increase brand visibility. 64.4% of sales were linked to our loyalty program, representing an increase on last year.

A new operating system was successfully implemented in Jun-25. This will provide streamlined financial management, enhanced sales and customer service, dynamic stock management across stores and improved integration to our website and other third-party marketplaces. It will also enable personalisation of our digital marketing activities, building upon the success of the existing in-store loyalty program.



Revenues for the combined **PROGREEN** and **A1 LAWN** business were down 10.4% on prior year following challenging weather for gardeners and landscapers. Sales of fertiliser were up by 9.3% but grass seed was down 19% and weed control by 11.9% as the sowing season was curtailed by the hot weather. Gross margin % improved 0.4% year-on-year.

A new stock management and warehouse system was implemented to improve stock control and reduce the number of mis-picks. This system is now fully operational, and we anticipate significant benefits to be realised from the new processes. We promoted Alice Handley to the role of General Manager at the start of 2025. Alice joined the business in 2020, has extensive sales and technical experience and is a trusted advisor in a specialist sector. We recruited a product buyer who will be looking to identify new suppliers and extend our product range and added a dedicated trainer role to grow our training offer and sales of associated equipment used by our professional customer base. A new warehouse manager will join us in Aug-25 to help us become the efficient fulfilment centre the business deserves.

Executive Chair

Chief Executive Officer

## STRATEGIC REPORT

The Directors present their strategic report for the 52 weeks ended 31st May 2025. This explains how they have regard to wider stakeholder needs when performing their statutory duties under s172 of the Companies Act 2006.

## STAKEHOLDERS

The primary stakeholders of WCF are its employee owners but the company balances the expectations of all principal stakeholders to achieve its overall strategic ambitions. The other principal stakeholders are the third-party shareholders, customers, suppliers, the local communities in which we operate and the members of the WCF Ltd Staff Retirement Benefit Scheme.

## PRINCIPAL ACTIVITIES

The principal activities of WCF are niche retailing, leisure and fuel oil distribution, through a portfolio of brands which can be seen on the rear cover of the Annual Report. The company is structured into a series of decentralised business units, with day-to-day decision making delegated to the individual units. This empowers entrepreneurial leadership and allows employees to respond to the needs of customers flexibly and promptly, whilst engendering a sense of collective ownership and responsibility. The local teams are supported by a central pool of expertise, including marketing, finance, technology, H&S, people and culture, compliance, property and facilities management.

A detailed review of operations is included in the Chair's Statement and Annual Summary.

## BUSINESS REVIEW AND FUTURE DEVELOPMENTS

Loss after tax for the year as shown on page 20 amounted to £517,000 (Profit 2024: £490,000). Shareholders' funds as shown on page 22 total £34,337,000 (2024: £36,013,000).

A review of the business and future developments is included in the Chair's Statement and Annual Summary.

## BUSINESS ENVIRONMENT

The bulk fuel oil distribution market is fragmented and supports a consolidation strategy designed to increase market share and customer retention. The proven depot operating model provides operational resilience, and we operate minimum depot sizes to restrict any disruption caused by a vehicle being off the road. The market is highly seasonal and will always be impacted by the weather, with a high proportion of bulk margin being generated from domestic heating oil. The industry body UKIFDA is working closely to respond to the impact of the government's Net Zero Strategy on liquid fuels and an increasing portion of fuel contains some bio element. Fluctuations in the price of crude oil are monitored daily and the impact of these passed on in our prices to our customers. Significant and sudden changes in the price of oil impact on our working capital as well as our customer credit limits. We continue to credit insure all large debts.

The retail businesses are to a large extent driven by wider consumer confidence and demand, impacted by inflationary pressures and rising interest rates. These are more susceptible to the wider economic and political climate as people reduce their discretionary purchases. However, the mature niche in which the Home Shopping and Bella di Notte businesses operates ensures a high market share in this sector, with high levels of customer retention.

WCF is predominately a UK business, however the implications on tariffs and exchange rate volatility, following Britain's exit from the European Union at the end of 2020, do ultimately impact on commodity and raw material input prices, even where these goods are manufactured in the UK. Home Shopping and Bella di Notte businesses rely to a large extent on overseas suppliers and the implications of this are monitored when designing product ranges, dual sourcing wherever possible and hedging foreign currency exposure.



## STRATEGY

The company uses its financial strength, leadership support and employee ownership structure to develop its existing businesses. The objective of every employee owner is to hand the business over to future generations of employees in a stronger position than when they inherited it so that others can benefit from its continued existence and resilience.

Using its decentralised co-owned structure, the company aims to create a workplace where every employee matters and has a unique opportunity to make a difference to its performance with meaningful, interesting and diverse roles. By generating higher levels of employee engagement than its competitors, the company can create responsible and sustainable long-term value for its shareholders, whilst sharing the benefits of co-owned success with all its colleagues.

The company's mix of diversified income streams is designed to minimise risk by having a broad spread of activities and locations. This limits the impact of adverse performance in any single business. The company's results continue to be driven by its niche clothing and bulk fuel oil distribution businesses on account of their size. The company has a long track record of organic and acquisitive growth and a focused acquisition strategy. Each business unit has their own strategic plan focused around the key areas of customer intimacy, financial performance, people and culture, continuous improvement, environmental and health and safety.

To grow market share and profitability the company seeks to increase customer retention and referral, extend its share of a customer's total spend by increasing both frequency and average order value, find new customers, develop new products, engage its people in meaningful, diverse and interesting roles finding new ways to work to improve performance, efficiency, and productivity.

## KEY PERFORMANCE INDICATORS (KPI'S)

Each individual business has a unique set of measures that are used to evaluate performance and communicate strategic and financial progress to their employee owners and to the Board. These measures are monitored monthly against benchmarks, prior year actuals and current year targets and revised annually as part of the annual budgeting process.

Financial measures include turnover, volumes, occupancy, gross or bulk margin, operating profit, stock turn, average transaction values, customer acquisition and retention.

Targets include % of own brand, customer reviews, cost per acquisition, catalogue response rates, on time despatch, supplier performance, lost sales, cross-selling, miles per drop, transport costs per litre and number of deliveries. Internet performance is measured via advertising cost of sale, visitor numbers and conversion rates. H&S performance is monitored closely, with all accidents, incidents and near misses recorded and investigated, no matter how minor. Employee engagement is measured through the 'Great Place to Work' annual staff survey.

## PRINCIPAL RISKS AND UNCERTAINTIES

The company's diverse operations expose it to a number of risks. The Board is responsible for risk management and monitors the key risks to identify, evaluate and prioritise, as well as ensuring that suitable processes are in place to avoid, control or mitigate where possible.

The principal risks and uncertainties affecting the group include the following:

- **Cyber security event resulting in operational disruption or a breach of confidential or sensitive data**  
- the company recognises the threat of cyber fraud and has measures in place to protect its systems and information from attack, which could inhibit our ability to operate effectively including the use of a third-party SOC (Security operations centre) provided by Artic Wolf. Our networked IT systems are centralised, allowing all our individual businesses to benefit from control measures to protect us from business interruption and provide disaster recovery should we be the target of a cyber threat. The company has close relationships and outsourced support agreements with key software, hardware and network vendors and have expanded our IT department.

- **Breach of regulation or occurrence of a major health, safety or environmental incident** – the company has an ongoing process for ensuring that its vehicles, depots and processes are compliant with current and forthcoming legislation and regulation and uses both internal and external audit mechanisms to verify that these are acting as intended. Both directly and via its membership of associated trade bodies, the company strives to incorporate best practice into its processes and employs appropriately qualified and experienced personnel responsible for compliance.
- **Supply chain disruption** – the majority of purchases are made from long standing supply partners and are dual sourced wherever possible to maintain continuity of supply. Lengthening lead times mean that a lot of product is bought in bulk in advance, whilst optimising our stock levels. Our fuels businesses have the ability to store a small amount of stock and switch to alternative supply sources. In retail, where disruption to supply did arise, we would try to switch customers to alternative products or de-list products if required.
- **Failure to grow market share and seize new opportunities, as well as realising the benefits of strategic acquisitions** – the company is engaged in ongoing reviews of competitor activity, as well as evaluation of business development and acquisition opportunities. Detailed strategic business and marketing plans are in place. Digital and offline marketing programs promote referral and customer retention, as well as winning new customers and markets. Extensive use of customer data is made to understand their patterns, trends and behaviours and influence strategic decision making. The centralisation of our marketing team means that all businesses have access to the expert levels of advice and decision making.
- **Insufficient bandwidth of key people and failure to attract the right people to our roles** – succession planning and the continued development of key employees is a key part of the strategic planning process to attract, retain and motivate the right people. Significant efforts have been made to raise the profile of our employer brand. Employee surveys are utilised to monitor engagement. We are committed to promoting the benefits of employee ownership to ensure that this remains a point of difference for those who choose to work with us.
- **Over-reliance on specific income streams** – we have a diversified income stream, with diversified customer bases within each business. There are no major customer contracts in place that would materially impact on revenues. Whilst the business has traditionally been seasonally weighted towards Winter, this is being addressed by the expansion into Leisure and the acquisition of Progreen, A1 Lawn and Bella di Notte. However, demand for bulk fuel oil is impacted by the weather and the severity of Winter drives demand for domestic heating oil. This creates a risk of volatility in earnings, which we seek to mitigate by providing a range of fuel oils to different markets and customers. Through the company we operate a mix of sales channels. Whilst our customers are inevitably migrating on-line the pace of change is slow.
- **Unexpected financial expenditure and credit risk** – the company's decentralised structure relies on a high level of devolved authority. Payment risk is mitigated by having dual payment authorisation. Credit checks are performed on all commercial customers and assigned credit limits are closely monitored, with attention being given to oil prices and the wider economic climate. Credit insurance is maintained on higher level accounts and rigorous credit control processes are in place especially in Fuels. In our B2C businesses, payments are made in advance by credit or debit card.
- **Inability to meet pension scheme obligations** – liability associated with the defined benefit pension scheme has now been mitigated as the Scheme Trustee entered into a buy-in contract with Legal & General ('L&G') to match all future benefit payments to members of the Scheme who had not yet retired at the purchase date. This significantly reduces the risks associated with the provision of a defined benefit pension to those members and their spouses over time (including member longevity, inflation assumptions and investment returns).

By order of the board  
P.A. Murray, Company Secretary  
11 September 2025



# DIRECTORS' REPORT

The Directors present their annual report and audited financial statements for the 52 weeks ended 31 May 2025.

## DIVIDENDS

The directors authorised an ordinary dividend in respect of the current financial year of 15p per share (2024: 20p) totalling £566,000 (2024: £755,000). This has not been included within creditors as it was not approved by the directors before the year end.

## DIRECTORS AND OFFICERS

The directors and officers who held office during the year were as follows:

|                                 |                               |
|---------------------------------|-------------------------------|
| P.A. Murray (Company Secretary) | M.S. Ward                     |
| P.J. Murray                     | D. Swards (resigned 13.12.24) |
| J.L. Ritzema                    | A. Mochrie (appointed 1.6.25) |

Under the Companies Act 2006 there is no requirement for the directors of a private company to retire by rotation.

At no time during the year did any director have a material interest in a contract with the company other than as a customer in the normal course of business; these contracts were not significant in relation to the company's activities. No directors benefited from qualifying third party indemnity provisions.

## COMMITMENT TO SECTION 172 AND OTHER STAKEHOLDER ENGAGEMENT

Section 172 of the Companies Act 2006 states that the directors must act in the way they consider, in good faith, would most likely promote the success of the company for the benefit of its members, taking into account the long-term consequences of their decisions on the interests of all stakeholders, including employees, as well as the need to act fairly between the stakeholders. The company recognises the need to foster strong business partnerships with its key suppliers and customers and consider the impact of its operations on the community and environment. Our employees are our most important asset.

Our customers are always at the heart of our decision making and we are passionate about delivering quality of product and service. We seek feedback regularly through surveys, review sites, account management and direct conversation and use any constructive feedback to ensure we improve what we do.

Our suppliers are crucial and we work with a small number of key supply partners on a mutually beneficial basis. We have policies around anti-bribery and corruption and comply with the Modern Slavery Act 2015 and are contributing members of relevant trade and industry bodies.

We support and encourage sustainable practices and are mindful of the impact of what we do on the environment, as well as investing in technology to improve the efficiency of our transport planning operations. We have a continued program of depot improvement and planned maintenance.

We publish our gender pay gap annually, recognising that there are significant difference in roles between our various diversified businesses. We work closely within the rural communities in which our operations are located.

We are confident that our business decisions are made with the intention of doing the right thing for our key stakeholders and are committed to the highest standards of professional and business conduct.

## EMPLOYMENT

Under the leadership of individual General Managers, the company operates a decentralised structure, giving employees the autonomy and responsibility they need to make the day to day decisions required to deliver exceptional customer service.

The company tries to consider employee views as much as possible through the use of suggestion and nomination schemes, surveys, forums, one to ones, toolbox talks and focus groups to ensure there is adequate consultation and communication on matters that are likely to affect their interests. Along with our risk assessments and safe systems of work, these are also used to ensure the health, safety and welfare at work of all our employees, customers, contractors and visitors.

Our Guiding Principles form the cultural contract between the company and its employees in respect of the values and the behaviours we expect from all our staff. These are reinforced in our communications, training, personnel policies and behavioral job descriptions.

The company is strongly committed to employee share ownership and operates Save as You Earn, Partnership Share and Profit Share Schemes for all employees. All employees benefit from an annual employee ownership dividend allowing them to share in our financial success.

WCF operates an equal opportunities employment policy and is opposed to all forms of discrimination. Our selection processes always seek to give full and fair consideration to all applicants taking into account their aptitude, skills and experience. The company ensures that the training, career development and promotion of its employees is not discriminatory in any way. In the event of employees becoming disabled, every effort is made to ensure their employment continues and appropriate training arranged.



## FUTURE DEVELOPMENTS

An indication of future developments is included in the Chair's Statement & Business Review.

## STRATEGIC REPORT

The information required by schedule 7 of the large and medium sized Companies and Groups (accounts and reports) Regulations 2008 has been included in the separate strategic report in accordance with section 414 c of the Companies Act 2006.

## ENERGY AND EMISSIONS

UK energy use covers all our selling, administration, warehouse, retail, leisure and logistics activities. Associated greenhouse gases have been calculated using GHG Reporting Standard - Corporate Protocol. WCF is registered as compliant with the Energy Savings Opportunity Scheme (ESOS). The majority of our energy usage is diesel for the tankers used in our oil distribution business and electricity on our campsites. In the period covered by the report the company has undertaken a number of energy efficient actions by installing solar panels in several locations with more planned in the coming year.

|                                                   | 2025       | 2024       |
|---------------------------------------------------|------------|------------|
| UK Energy Use kWh                                 | 11,418,516 | 12,676,472 |
| Associated greenhouse gas emissions kg Co2e       | 2,839,312  | 3,121,082  |
| Intensity Ratio Emissions per number of employees | 7,633      | 8,481      |

We have calculated the carbon emissions and kWh figures using the UK Government's 2024 Conversion Factors for company reporting.

## STATEMENT OF DIRECTORS' RESPONSIBILITIES IN RESPECT OF THE STRATEGIC REPORT, DIRECTORS' REPORT AND THE FINANCIAL STATEMENTS

The directors are responsible for preparing the Strategic Report, Directors' Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have prepared the financial statements in accordance with UK Accounting Standards and applicable law (UK Generally Accepted Accounting Practice) including FRS102, *The Financial Reporting Standard applicable in the UK and Republic of Ireland*.

Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the group and company and of the profit or loss of the group for that period.

In preparing the group financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and estimates that are reasonable and prudent;
- state whether applicable UK Accounting Standards have been followed subject to any material departures disclosed and explained in the financial statements; and
- prepare the consolidated financial statements on the going concern basis unless it is inappropriate to presume that the group and company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company and group's transactions and disclose with reasonable accuracy at any time the financial position of the company and the group and enable them to ensure that the financial statements comply with the Companies Act 2006. They have general responsibility for taking such steps as are reasonably open to them to safeguard the assets of the group and company and to prevent and detect fraud and other irregularities.

## DISCLOSURE OF INFORMATION TO AUDITOR

The directors who held office at the date of approval of this directors' report confirm that, so far as each of them are aware, there is no information relevant to the audit of the company's consolidated financial statements for the 52 weeks ended 31 May 2025 of which the company's auditor is unaware; and each director has taken all the steps that they ought to have taken as a director to make themselves aware of any relevant audit information and to establish that the company's auditor is aware of that information.

By order of the board  
P.A. Murray, Company Secretary  
11 September 2025

WCF Ltd  
Registered number: 02263148

# INDEPENDENT AUDITOR'S REPORT

to the members of WCF Ltd

## OPINION

We have audited the financial statements of WCF Ltd. (the 'parent company') and its subsidiaries (the 'group') for the year ended 31 May 2025, which comprise the Consolidated Profit and Loss Account, Consolidated Statement of Comprehensive Income, Consolidated Balance Sheet, Balance Sheet, Consolidated Statement of Changes in Equity, Statement of Changes in Equity, Consolidated Statement of Cash Flows, and Notes to the Financial Statements, including a summary of significant accounting policies. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including Financial Reporting Standard 102 'The Financial Reporting Standard applicable in the UK and Republic of Ireland' (United Kingdom Generally Accepted Accounting Practice).

In our opinion the financial statements:

- give a true and fair view of the state of the group's and the parent company's affairs as at 31 May 2025 and of the group's loss for the year then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

## BASIS FOR OPINION

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the auditor responsibilities for the audit of the financial statements section of our report. We are independent of the group in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

## CONCLUSIONS RELATING TO GOING CONCERN

In auditing the financial statements, we have concluded that the directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate.

Based on the work we have performed, we have not identified any material uncertainties relating to events or conditions that, individually or collectively, may cast significant doubt on the group's ability to continue as a going concern for a period of at least twelve months from when the original financial statements were authorised for issue.

Our responsibilities and the responsibilities of the directors with respect to going concern are described in the relevant sections of this report.

## OTHER INFORMATION

The directors are responsible for the other information. The other information comprises the information included in the annual report, other than the financial statements and our auditor's report thereon. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether there is a material misstatement in the financial statements or a material misstatement of the other information. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

## **OPINION ON OTHER MATTER PRESCRIBED BY THE COMPANIES ACT 2006**

In our opinion, based on the work undertaken in the course of the audit:

- the information given in the Strategic Report and Directors' Report for the financial period for which the financial statements are prepared is consistent with the financial statements; and
- the Strategic Report and Directors' Report have been prepared in accordance with applicable legal requirements.

## **MATTERS ON WHICH WE ARE REQUIRED TO REPORT BY EXCEPTION**

In the light of our knowledge and understanding of the group parent company and its environment obtained in the course of the audit, we have not identified material misstatements in the Strategic Report and the Directors' Report.

We have nothing to report in respect of the following matters where the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept by the parent company, or returns adequate for our audit have not been received from branches not visited by us; or
- the parent company financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

## **RESPONSIBILITIES OF DIRECTORS**

As explained more fully in the Statement of Directors' Responsibilities set out on page 15, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the group's and the parent company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the group or the parent company or to cease operations, or have no realistic alternative but to do so.

## **AUDITOR RESPONSIBILITIES FOR THE AUDIT OF THE FINANCIAL STATEMENTS**

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

Irregularities, including fraud, are instances of non-compliance with laws and regulations. We design procedures in line with our responsibilities, outlined above, to detect material misstatements in respect of irregularities, including fraud. The extent to which our procedures are capable of detecting irregularities, including fraud is detailed below:

In identifying and assessing risks of material misstatement in respect of irregularities, including fraud and non-compliance with laws and regulations, we considered the following:

- the nature of the industry and sector, control environment and business performance including the design of the company's remuneration policies, key drivers for directors' remuneration, bonus levels and performance targets;
- results of our enquiries of management about their own identification and assessment of the risks of irregularities;
- any matters we identified having obtained and reviewed the company's documentation of their policies and procedures relating to:



- identifying, evaluating and complying with laws and regulations and whether they were aware of any instances of non-compliance;
- detecting and responding to the risks of fraud and whether they have knowledge of any actual, suspected or alleged fraud;
- the internal controls established to mitigate risks of fraud or non-compliance with laws and regulations;
- the matters discussed among the audit engagement team and involving relevant internal specialists, including tax and pensions regarding how and where fraud might occur in the financial statements and any potential indicators of fraud.

As a result of these procedures, we considered the opportunities and incentives that may exist within the organisation for fraud and identified the greatest potential for fraud to be in relation to management override which, in common with all audits under ISAs (UK), we are required to perform specific procedures to respond to this risk.

We also obtained an understanding of the legal and regulatory framework that the company operates in, focusing on provisions of those laws and regulations that had a direct effect on the determination of material amounts and disclosures in the financial statements. The key laws and regulations we considered in this context included the UK Companies Act, pensions legislation and tax legislation.

In addition, we considered provisions of other laws and regulations that do not have a direct effect on the financial statements but compliance with which may be fundamental to the company's ability to operate or to avoid a material penalty. The key laws and regulations we considered in this context related to the Health and Safety Act, Employment Law and the Driver and Vehicle Standards Agency.

As a result of performing the above, in response to the risks identified, we did not identify any key audit matters related to the potential risk of fraud or non-compliance with laws and regulations.

In addition to the above, our procedures to respond to risks identified included the following:

- reviewing the financial statement disclosures and testing to supporting documentation to assess compliance with provisions of relevant laws and regulations described as having a direct effect on the financial statements;
- enquiring of management concerning actual and potential litigation and claims;
- performing analytical procedures to identify any unusual or unexpected relationships that may indicate risks of material misstatement due to fraud;
- reading minutes of meetings of those charged with governance, reviewing correspondence with HMRC; and
- in addressing the risk of fraud through management override of controls, testing the appropriateness of journal entries and other adjustments; assessing whether the judgements made in making accounting estimates are indicative of a potential bias; and evaluating the business rationale of any significant transactions that are unusual or outside the normal course of business.

We also communicated relevant identified laws and regulations and potential fraud risks to all engagement team members, and remained alert to any indications of fraud or non-compliance with laws and regulations throughout the audit.

There are inherent limitations in our audit procedures described above. The more removed that laws and regulations are from financial transactions, the less likely it is that we would become aware of non-compliance. Auditing standards also limit the audit procedures required to identify non-compliance with laws and regulations to enquiry of the directors and other management and the inspection of regulatory and legal correspondence, if any.

Material misstatements that arise due to fraud can be harder to detect than those that arise from error as they may involve deliberate concealment or collusion.

A further description of our responsibilities is available on the Financial Reporting Council's website at: [www.frc.org.uk/auditorsresponsibilities](http://www.frc.org.uk/auditorsresponsibilities). This description forms part of our auditor's report.

## **USE OF OUR REPORT**

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed.

Alison M Johnston (Senior Statutory Auditor)  
For and on behalf of Dodd & Co Audit Limited, Statutory Auditor  
FIFTEEN Rosehill  
Montgomery Way  
Rosehill Estate  
CARLISLE  
CA1 2RW

11 September 2025

# CONSOLIDATED PROFIT & LOSS ACCOUNT

For the 52 weeks ended 31 May 2025

|                                                                 | NOTE | 2025<br>£'000 | 2024<br>£'000 |
|-----------------------------------------------------------------|------|---------------|---------------|
| <b>Turnover</b>                                                 |      | 219,901       | 251,303       |
| <b>Cost of sales</b>                                            |      | (187,415)     | (221,255)     |
| <b>Gross profit</b>                                             |      | 32,486        | 30,048        |
| <b>Other operating expenses/income</b>                          |      |               |               |
| Other operating expenses                                        | 2    | (29,106)      | (27,288)      |
| Other operating income                                          | 5    | 1             | 118           |
| <b>Other operating expenses before amortisation</b>             |      | (29,105)      | (27,170)      |
| Amortisation                                                    | 10   | (2,067)       | (1,617)       |
| <b>Other operating expenses after amortisation</b>              |      | (31,172)      | (28,787)      |
| <b>Operating profit</b>                                         | 4    | 1,314         | 1,261         |
| Interest receivable and similar income                          | 6    | 248           | 330           |
| Revaluation of fixed asset investments                          |      | -             | (45)          |
| Interest payable and similar expenses                           | 3    | (39)          | (311)         |
| Losses on settlement of retirement benefit scheme               | 20   | (1,527)       | -             |
| <b>(Loss)/Profit on ordinary activities before profit share</b> |      | (4)           | 1,235         |
| Employee profit share                                           | 7    | 70            | 105           |
| <b>Profit before taxation</b>                                   |      | 66            | 1,340         |
| Taxation                                                        | 8    | (583)         | (850)         |
| <b>(Loss)/profit for the financial period</b>                   |      | (517)         | 490           |

The above results for the financial year ending 31 May 2025 were derived from continuing operations. Of the profit for the financial year ending 31 May 2024, £602k profit related to continuing operations and a £112k loss related to discontinued operations.

# CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

For the 52 weeks ended 31 May 2025

|                                                                                   | NOTE | 2025<br>£'000 | 2024<br>£'000 |
|-----------------------------------------------------------------------------------|------|---------------|---------------|
| <b>(Loss)/profit for the period</b>                                               |      | (517)         | 490           |
| <b>Other Comprehensive Income/(Expense)</b>                                       |      |               |               |
| Actuarial gain/(loss) recognised on retirement benefits                           | 20   | 851           | (646)         |
| Deferred tax on actuarial gain/(loss)                                             | 18   | (213)         | 162           |
| <b>Other Comprehensive Income/(Expense) for the period,<br/>net of income tax</b> |      | 638           | (484)         |
| <b>Total Comprehensive Income for the financial period</b>                        |      | 121           | 6             |

The notes on pages 26 to 46 form an integral part of these accounts.

## BALANCE SHEETS

At 31st May 2025

### ASSETS EMPLOYED

#### Fixed assets

|                            |    |        |        |        |        |
|----------------------------|----|--------|--------|--------|--------|
| Intangible assets          | 10 | 4,983  | 7,078  | 4,983  | 2,530  |
| Tangible assets            | 11 | 14,368 | 14,645 | 14,368 | 14,499 |
| Investment property        | 12 | 1,005  | 1,005  | 1,005  | 1,005  |
| Investment in subsidiaries | 19 | -      | -      | 159    | 6,531  |

|  |  | Group         |               | Company       |               |
|--|--|---------------|---------------|---------------|---------------|
|  |  | 2025<br>£'000 | 2024<br>£'000 | 2025<br>£'000 | 2024<br>£'000 |
|  |  | 20,356        | 22,728        | 20,515        | 24,565        |
|  |  | 8,815         | 7,633         | 8,815         | 6,593         |
|  |  | 13,967        | 18,497        | 13,967        | 18,111        |
|  |  | 9,440         | 9,992         | 9,440         | 8,750         |
|  |  | 32,222        | 36,122        | 32,222        | 33,454        |
|  |  | (17,131)      | (21,039)      | (17,290)      | (19,888)      |
|  |  | 15,091        | 15,083        | 14,932        | 13,566        |
|  |  | 35,447        | 37,811        | 35,447        | 38,131        |
|  |  | (6)           | (774)         | (6)           | (774)         |
|  |  | 35,441        | 37,037        | 35,441        | 37,357        |
|  |  | (1,104)       | (1,024)       | (1,104)       | (993)         |
|  |  | 34,337        | 36,013        | 34,337        | 36,364        |
|  |  | 3,773         | 3,773         | 3,773         | 3,773         |
|  |  | 4,446         | 4,446         | 4,446         | 4,446         |
|  |  | 508           | 508           | 508           | 508           |
|  |  | (4,520)       | (3,432)       | (4,520)       | (3,432)       |
|  |  | 30,130        | 30,718        | 30,130        | 31,069        |
|  |  | 34,337        | 36,013        | 34,337        | 36,364        |

#### Current assets

|                          |    |        |        |        |        |
|--------------------------|----|--------|--------|--------|--------|
| Stocks                   | 13 | 8,815  | 7,633  | 8,815  | 6,593  |
| Debtors                  | 14 | 13,967 | 18,497 | 13,967 | 18,111 |
| Cash at bank and in hand |    | 9,440  | 9,992  | 9,440  | 8,750  |

#### Creditors:

|                                   |    |          |          |          |          |
|-----------------------------------|----|----------|----------|----------|----------|
| Amounts falling due within 1 year | 15 | (17,131) | (21,039) | (17,290) | (19,888) |
|-----------------------------------|----|----------|----------|----------|----------|

|                    |  |        |        |        |        |
|--------------------|--|--------|--------|--------|--------|
| Net current assets |  | 15,091 | 15,083 | 14,932 | 13,566 |
|--------------------|--|--------|--------|--------|--------|

#### Total assets less current liabilities

|            |  |        |        |        |        |
|------------|--|--------|--------|--------|--------|
| Creditors: |  | 35,447 | 37,811 | 35,447 | 38,131 |
|------------|--|--------|--------|--------|--------|

|                                            |    |     |       |     |       |
|--------------------------------------------|----|-----|-------|-----|-------|
| Amounts falling due after more than 1 year | 15 | (6) | (774) | (6) | (774) |
|--------------------------------------------|----|-----|-------|-----|-------|

#### Provisions for liabilities

|                        |    |         |         |         |       |
|------------------------|----|---------|---------|---------|-------|
| Deferred tax provision | 18 | (1,104) | (1,024) | (1,104) | (993) |
|------------------------|----|---------|---------|---------|-------|

#### Net assets

#### Capital and reserves

|                            |    |         |         |         |         |
|----------------------------|----|---------|---------|---------|---------|
| Called up share capital    | 17 | 3,773   | 3,773   | 3,773   | 3,773   |
| Capital redemption reserve | 24 | 4,446   | 4,446   | 4,446   | 4,446   |
| Fair value reserve         | 24 | 508     | 508     | 508     | 508     |
| Investment in own shares   | 24 | (4,520) | (3,432) | (4,520) | (3,432) |
| Retained earnings          | 24 | 30,130  | 30,718  | 30,130  | 31,069  |

|                     |  |        |        |        |        |
|---------------------|--|--------|--------|--------|--------|
| Shareholders' funds |  | 34,337 | 36,013 | 34,337 | 36,364 |
|---------------------|--|--------|--------|--------|--------|

No profit and loss account is presented for the company as permitted by Section 408 of the Companies Act 2006. The company made a profit after tax for the financial period of £227,000 (2024 - profit of £847,000).

The financial statements on pages 20 to 46 were approved by the Board of Directors on 11 September 2025 and were signed on its behalf by:

J L Ritzema, Executive Chair

M S Ward, Senior Independent Director

Registered Number 02263148

The notes on pages 26 to 46 form an integral part of these accounts.

## STATEMENTS OF CHANGES IN EQUITY

For the 52 weeks ended 31 May 2025

|                                                      | Called up<br>share<br>capital<br>£'000 | Retained<br>earnings<br>£'000 | Capital<br>redemption<br>reserve<br>£'000 | Investment<br>in own<br>shares<br>£'000 | Fair<br>value<br>reserve<br>£'000 | Total<br>equity<br>£'000 |
|------------------------------------------------------|----------------------------------------|-------------------------------|-------------------------------------------|-----------------------------------------|-----------------------------------|--------------------------|
| <b>Group</b>                                         |                                        |                               |                                           |                                         |                                   |                          |
| <b>Balance at 27 May 2023</b>                        | 3,773                                  | 31,821                        | 4,446                                     | (2,635)                                 | 508                               | 37,913                   |
| <b>Changes in equity</b>                             |                                        |                               |                                           |                                         |                                   |                          |
| Total comprehensive income                           | -                                      | 6                             | -                                         | -                                       | -                                 | 6                        |
| Other gains and losses on shares                     | -                                      | (127)                         | -                                         | -                                       | -                                 | (127)                    |
| Dividend paid to external shareholders               | -                                      | (982)                         | -                                         | -                                       | -                                 | (982)                    |
| Movement in investment in own shares during the year | -                                      | -                             | -                                         | (797)                                   | -                                 | (797)                    |
| <b>Balance at 31 May 2024</b>                        | 3,773                                  | 30,718                        | 4,446                                     | (3,432)                                 | 508                               | 36,013                   |

|                                                      |       |        |       |         |     |         |
|------------------------------------------------------|-------|--------|-------|---------|-----|---------|
| <b>Group</b>                                         |       |        |       |         |     |         |
| <b>Changes in equity</b>                             |       |        |       |         |     |         |
| Total comprehensive income                           | -     | 121    | -     | -       | -   | 121     |
| Other gains and losses on shares                     | -     | (79)   | -     | -       | -   | (79)    |
| Dividend paid to external shareholders               | -     | (630)  | -     | -       | -   | (630)   |
| Movement in investment in own shares during the year | -     | -      | -     | (1,088) | -   | (1,088) |
| <b>Balance at 31 May 2025</b>                        | 3,773 | 30,130 | 4,446 | (4,520) | 508 | 34,337  |



## STATEMENTS OF CHANGES IN EQUITY (continued)

For the 52 weeks ended 31 May 2025

|                                                     | Called up<br>share<br>capital<br>£'000 | Retained<br>earnings<br>£'000 | Capital<br>redemption<br>reserve<br>£'000 | Investment<br>in own<br>shares<br>£'000 | Fair<br>value<br>reserve<br>£'000 | Total<br>equity<br>£'000 |
|-----------------------------------------------------|----------------------------------------|-------------------------------|-------------------------------------------|-----------------------------------------|-----------------------------------|--------------------------|
| <b>Company</b>                                      |                                        |                               |                                           |                                         |                                   |                          |
| <b>Balance at 27 May 2023</b>                       | 3,773                                  | 31,815                        | 4,446                                     | (2,635)                                 | 508                               | 37,907                   |
| <b>Changes in equity</b>                            |                                        |                               |                                           |                                         |                                   |                          |
| Total comprehensive income                          | -                                      | 363                           | -                                         | -                                       | -                                 | 363                      |
| Other gains and losses on shares                    | -                                      | (127)                         | -                                         | -                                       | -                                 | (127)                    |
| Dividend paid to external shareholders              | -                                      | (982)                         | -                                         | -                                       | -                                 | (982)                    |
| Movement in investment in own share during the year | -                                      | -                             | -                                         | (797)                                   | -                                 | (797)                    |
| <b>Balance at 31 May 2024</b>                       | 3,773                                  | 31,069                        | 4,446                                     | (3,432)                                 | 508                               | 36,364                   |

|                                                     |       |         |       |         |     |         |
|-----------------------------------------------------|-------|---------|-------|---------|-----|---------|
| <b>Company</b>                                      |       |         |       |         |     |         |
| <b>Changes in equity</b>                            |       |         |       |         |     |         |
| Total comprehensive income                          | -     | 865     | -     | -       | -   | 865     |
| Other gains and losses on shares                    | -     | (79)    | -     | -       | -   | (79)    |
| Dividend paid to external shareholders              | -     | (630)   | -     | -       | -   | (630)   |
| Movement in investment in own share during the year | -     | -       | -     | (1,088) | -   | (1,088) |
| Goodwill accumulated amortisation on hive up        | -     | (1,095) | -     | -       | -   | (1,095) |
| <b>Balance at 31 May 2025</b>                       | 3,773 | 30,130  | 4,446 | (4,520) | 508 | 34,337  |

# CONSOLIDATED STATEMENT OF CASH FLOWS

For the 52 weeks ended 31 May 2025

|                                                         | NOTE | 2025<br>£'000 | 2024<br>£'000 |
|---------------------------------------------------------|------|---------------|---------------|
| <b>Cash flows from operating activities</b>             |      |               |               |
| (Loss)/Profit for the year                              |      | (517)         | 490           |
| Adjustments for:                                        |      |               |               |
| Depreciation and amortisation charges                   |      | 3,657         | 3,207         |
| Loss on disposal of fixed assets                        |      | 48            | 15            |
| Finance costs                                           |      | 39            | 311           |
| Revaluation of fixed asset investments                  |      | -             | 45            |
| Interest receivable and similar income                  |      | (248)         | (330)         |
| Movement in retirement benefit asset                    |      | (592)         | (779)         |
| Employee Profit Share                                   |      | (70)          | (105)         |
| Taxation                                                |      | 583           | 850           |
| Losses on settlement of retirement benefit scheme       |      | 1,527         | -             |
|                                                         |      | 4,427         | 3,704         |
| Increase in stocks                                      |      | (1,182)       | (942)         |
| Decrease/(increase) in trade and other debtors          |      | 4,530         | (485)         |
| (Decrease)/increase in trade and other creditors        |      | (2,371)       | 1,252         |
|                                                         |      | 5,404         | 3,529         |
| Tax paid                                                |      | (1,233)       | (323)         |
| <b>Net cash from operating activities</b>               |      | 4,171         | 3,206         |
| <b>Cash flows from investing activities</b>             |      |               |               |
| Purchase of tangible fixed assets                       |      | (1,397)       | (1,004)       |
| Purchase of intangible assets                           |      | (11)          | -             |
| Sale of tangible fixed assets                           |      | 75            | 160           |
| Interest received                                       |      | 164           | 330           |
| Business combination                                    |      | -             | (4,944)       |
| Proceeds from disposal of investments                   |      | -             | 1,658         |
| <b>Net cash from investing activities</b>               |      | (1,169)       | (3,800)       |
| <b>Cash flows from financing activities</b>             |      |               |               |
| Movement of own shares                                  |      | (1,167)       | (924)         |
| Equity dividends paid                                   |      | (630)         | (982)         |
| Proceeds from sale of forfeited shares                  |      | 70            | 105           |
| Hire purchase repayments                                |      | (2)           | (2)           |
| Proceeds from bank borrowing                            |      | -             | 3,000         |
| Repayment of bank borrowing                             |      | (1,786)       | (1,214)       |
| Interest paid                                           |      | (39)          | (93)          |
| <b>Net cash from financing activities</b>               |      | (3,554)       | (110)         |
| <b>Net decrease in cash and cash equivalents</b>        |      | (552)         | (704)         |
| <b>Cash and cash equivalents at beginning of period</b> | 23   | <b>9,992</b>  | <b>10,696</b> |
| <b>Cash and cash equivalents at end of period</b>       | 23   | <b>9,440</b>  | <b>9,992</b>  |

The notes on pages 26 to 46 form an integral part of these accounts.

# NOTES TO THE FINANCIAL STATEMENTS

## 1. ACCOUNTING POLICIES

WCF Ltd is a company limited by shares and incorporated and domiciled in England. The registered office is Craw Hall, Brampton, Cumbria CA8 1TN.

**Period of accounting** The financial statements have been prepared for the 52 week period ended 31 May 2025 and any references to the 'year' or 'period' in these accounts relate to this financial year.

**Basis of accounting** The financial statements have been prepared on a going concern basis in accordance with Financial Reporting Standard 102 "The Financial Reporting Standard applicable in the UK and Ireland" and the Companies Act 2006 including the provisions of the large and medium sized companies and groups (Accounts and Reports Regulations) 2008. The financial statements have been prepared under the historical cost convention as modified by the revaluation of certain assets in the current and prior periods, as set out below.

**Reduced disclosures** This company is a qualifying entity for the purposes of FRS 102, being a member of a group where the parent of that group prepares publicly available consolidated financial statements, including this company, which are intended to give a true and fair view of the assets, liabilities, financial position and profit or loss of the group. The company has therefore taken advantage of exemptions from the following disclosure requirements.

- Section 4 'Statement of Financial Position' - Reconciliation of the opening and closing number of shares;
- Section 7 'Statement of Cash Flows' - Presentation of a statement of cash flow and related notes and disclosures;
- Section 11 'Basic Financial Instruments' & Section 12 'Other Financial Instrument Issues' - Carrying amounts, interest income/expense and net gains/losses for each category of financial instrument, basis of determining fair values; details of collateral, loan defaults or breaches, details of hedges, hedging fair value changes recognised in profit or loss and in other comprehensive income;
- Section 26 'Share based Payment' - Share-based payment expense charged to profit or loss, reconciliation of opening and closing number and weighted average exercise price of share options, how the fair value of options granted was measured, measurement and carrying amount of liabilities for cash-settled share-based payments, explanation of modifications to arrangements.
- Section 33 'Related Party Disclosure' - Compensation for key management personnel.

**Currency** The financial statements have been prepared in UK sterling in round thousands.

**Basis of consolidation** The consolidated financial statements consolidate the financial statements of the company and its subsidiary undertakings drawn up to 31 May 2025. A subsidiary is an entity controlled by the company. Control is achieved where the company has the power to govern the financial and operating policies of an entity so as to obtain benefits from its activities.

The results of subsidiaries acquired or disposed of during the period are included in the Profit and Loss Account from the effective date of acquisition or up to the effective date of disposal, as appropriate. Where necessary, adjustments are made to the financial statements of subsidiaries to bring their accounting policies into line with those used by the group.

The purchase method of accounting is used to account for business combinations that result in the acquisition of subsidiaries by the group. The cost of a business combination is measured as the fair value of the assets given, equity instruments issued and liabilities incurred or assumed at the date of exchange, plus costs directly attributable to the business combination. Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date. Any excess of the cost of the business combination over the acquirer's interest in the net fair value of the identifiable assets, liabilities and contingent liabilities recognised is recorded as goodwill.

## 1. ACCOUNTING POLICIES (continued)

Inter-company transactions, balances and unrealised gains on transactions between the company and its subsidiaries, which are related parties, are eliminated in full. Intra-group losses are also eliminated but may indicate an impairment that requires recognition in the consolidated financial statements.

Accounting policies of subsidiaries have been changed where necessary to ensure consistency with the policies adopted by the group.

**Turnover** Turnover represents the amount receivable by the company in the ordinary course of business, net of value added tax, for goods and services supplied outside the company. Turnover is recognised on delivery of the goods or service.

No separate analysis of turnover has been provided in the notes to the financial statements, as in the opinion of the directors, to do so would be commercially prejudicial to the interests of the company.

**Tangible fixed assets and depreciation** Fixed assets are stated at cost, less accumulated depreciation and subsequent accumulated impairment losses. Depreciation is charged using either straight line basis or reducing balance method over the estimated useful economic life of the assets. No depreciation is charged on freehold land.

The following rates are applied by the company and group and are consistent with the prior financial year.

|                     | Depreciation rates   |
|---------------------|----------------------|
| Freehold buildings  | 2 - 5%               |
| Leasehold buildings | Over length of lease |
| Plant and machinery | 5 - 50%              |
| Vehicles            | 20 - 50%             |

The gain or loss arising on the disposal of a fixed asset is determined as the difference between the net sale proceeds and the carrying amount of the asset. Where significant property or land disposals are made, these are not considered to constitute normal operating conditions and therefore disclosed below operating profit.

**Government grants** Grants relating to revenue are recognised in the profit and loss account on a systematic basis over the periods in which the related costs are recognised for which the grant is intended to compensate. Grants for the purpose of giving immediate financial support with no future related costs to be incurred are recognised in the profit and loss account when the grant proceeds become receivable.

**Investment property** Investment properties are properties held by the company to earn rentals and/or for capital appreciation. Investment properties are initially measured at cost, including transaction costs. Subsequently investment properties are measured at fair value by the directors with reference to corroborative market valuations. Investment property valuations are based on a fair value. Deferred tax is provided on these movements. Gains and losses arising from changes in the fair value of investment properties are included in the profit and loss account in the period in which they arise.

**Cash and cash equivalents** These are assets that are readily convertible into cash and includes current bank accounts, fixed term deposits and savings accounts, petty cash and currency.

**Lessor accounting** Assets held and leased to third parties are capitalised within tangible fixed assets and depreciated in accordance with the above policy. Lease rental receipts are credited to the profit and loss account in the period to which they relate.

## 1. ACCOUNTING POLICIES (continued)

**Operating lease** Payments (excluding costs for services and insurance) made under operating leases are recognised in the profit and loss account on a straight-line basis over the term of the lease unless the payments to the lessor are structured to increase in line with expected general inflation; in which case the payments related to the structured increases are recognised as incurred. Lease incentives received are recognised in profit and loss over the term of the lease as an integral part of the total lease expense. Premiums payable, rent free periods and capital contributions receivable on entering an operating lease are released on a straight line basis over the lease term or first break if applicable.

**Finance lease** Minimum lease payments are apportioned between the finance charge and the reduction of the outstanding liability using the rate implicit in the lease. The finance charge is allocated to each period during the lease term so as to produce a constant periodic rate of interest on the remaining balance of the liability. Contingent rents are charged as expenses in the periods in which they are incurred.

**Intangible assets** Separately acquired trademarks and licences (including software) are shown at historical cost.

Trademarks, licences (including software) and customer-related intangible assets acquired in a business combination are recognised at fair value at the acquisition date.

Trademarks, licences and customer-related intangible assets have a finite useful life and are carried at cost less accumulated amortisation and any accumulated impairment losses.

**Amortisation** Amortisation is provided on intangible assets so as to write off the cost, less any estimated residual value, over their useful life as follows:

| Asset class                      | Amortisation method and rate      |
|----------------------------------|-----------------------------------|
| Software and website development | 3 and 5 years straight line basis |

**Goodwill** Purchased and acquisition goodwill is amortised on a straight line basis over 5 years. Any impairment is recognised immediately.

**Stocks** The basis of valuation of stocks is the lower of cost to the company and estimated net realisable value after considering any impairment losses.

**Taxation** The charge for corporation tax is based on the results for the year adjusted for items which are not taxed or are disallowed. It is calculated using tax rates in legislation that has been enacted or substantively enacted by the balance sheet date.

Deferred tax has been recognised as an asset or liability if transactions have occurred at the balance sheet date that give rise to an obligation to pay more tax in the future, or a right to pay less tax in the future. An asset is not recognised to the extent that the transfer in economic benefits in the future is uncertain. Deferred tax assets and liabilities recognised have not been discounted. Deferred tax is fully provided in respect of timing differences to the extent that it is probable a liability will arise or an asset will be recoverable in the foreseeable future.

Deferred tax is calculated at the tax rates that are expected to apply to the period when the asset is realised or the liability is settled.

# 1. ACCOUNTING POLICIES (continued)

**Investments in subsidiaries** Investments in subsidiaries are measured at cost less impairment.

**Trade debtors** Trade debtors are initially recognised at transaction price and subsequently measured at amortised cost less allowances for situations where recovery is doubtful. Such allowances are based on an individual assessment of each allowance.

**Trade creditors** Trade creditors are initially recognised at transaction price and subsequently measured at amortised cost.

**Employee Benefit Trust:** The company is a sponsoring entity of WCF EBT in accordance with section 9, FRS102. The assets and abilities of the EBT are recognised as an extension of WCF Ltd and are included in these financial statements. Appropriations are not disclosed within operating profit, as the directors consider the presentation adopted more accurately reflects the nature of the charge.

**Foreign currencies** Assets and liabilities in foreign currencies are translated into sterling at the rates of exchange ruling at the balance sheet date. Transactions in foreign currencies are translated into sterling at the rate of exchange ruling at the date of transaction. Exchange differences are taken into account in arriving at the operating result.

**Pensions** For the company's defined benefit scheme the amounts charged to operating profit are the gains and losses on ordinary settlements and curtailments. They are included as part of staff costs. Past service costs are recognised immediately in the profit and loss account to the extent that the benefits are already vested, otherwise the costs are recognised over the period until vesting occurs. The interest cost and the expected return on assets are shown as a net amount of other charges or income adjacent to interest payable in the profit and loss account. Actuarial gains and losses are recognised immediately in the statement of other comprehensive income.

The assets of the scheme are held separately from those of the company in a separate trustee administered fund.

The assets of the pension scheme are measured at fair value and liabilities are measured on an actuarial basis using the projected unit method and discounted at a rate equivalent to the current rate of return on a high quality corporate bond of equivalent currency and term to the scheme liabilities. The actuarial valuations are obtained at least triennially and are updated at each balance sheet date. The resulting defined benefit asset or liability excluding the related deferred tax, is presented separately after other net assets on the face of the balance sheet.

Employer contributions made to the company's stakeholder and other defined contribution schemes are charged as an expense in the period to which they relate.

**Share Based Payments** Share-based payments relate to Save As You Earn options issued to employees which vest over 3 or 5 years and the company's annual employee profit share plan.

The fair value of employee share option plans is calculated at the grant date using the Black-Scholes model and the resulting cost charged to the profit and loss account over the vesting period, adjusted to reflect the company's estimate of shares that will eventually vest. The fair value of the employee profit share plan is calculated using the market value of the shares at the date of the award. The resulting cost is charged to the profit and loss account in the year in which the profit share is earned, if material.

**Going Concern Policy** The directors, having considered the current trading prospects, identifiable risks, working capital requirements and the level of cash held, are of the opinion that the company and group is a going concern having prepared forecasts for a period of at least 12 months from the date of signature of these financial statements. The accounts have been prepared on this basis.

## 1. ACCOUNTING POLICIES (continued)

**Key judgements and sources of estimation uncertainty:** The preparation of the financial statements requires management to make judgements, estimates and assumptions that affect the amounts reported for assets and liabilities as at the balance sheet date and the amounts reported for revenues and expenses during the year. However, the nature of estimation means that actual outcomes could differ from those estimates. The following judgements (apart from those involving estimates) have had the most significant effect on amounts recognised in the financial statements: Pension Assumptions for details of the assumptions made please refer to note 22 Pension Commitments. The estimates and assumptions which have a significant risk of causing a material adjustment to the carrying amount of assets and liabilities are as follows:

**Share based payment charge** The fair value of the share options has been estimated by the directors using the Black Scholes option pricing model. The directors were required to decide on a number of key inputs used in this model, as disclosed in note 24.

## 2. OTHER OPERATING EXPENSES

|                          | 2025<br>£'000 | 2024<br>£'000 |
|--------------------------|---------------|---------------|
| Distribution costs       | 18,135        | 17,206        |
| Administration costs     | 10,971        | 10,082        |
| Other operating expenses | 29,106        | 27,288        |

## 3. INTEREST PAYABLE AND SIMILAR CHARGES

|                                          | 2025<br>£'000 | 2024<br>£'000 |
|------------------------------------------|---------------|---------------|
| Interest on bank overdraft and borrowing | 39            | 93            |
| Pension related charges                  | -             | 218           |
|                                          | 39            | 311           |

## 4. EXPENSES AND AUDITOR'S REMUNERATION

|                                                 | 2025<br>£'000 | 2024<br>£'000 |
|-------------------------------------------------|---------------|---------------|
| Included in operating profit are the following: |               |               |
| Loss on sale of tangible fixed assets           | (9)           | (15)          |
| Loss on disposal of intangible fixed assets     | (39)          | -             |
| Rents receivable                                | 172           | 175           |
| Income from fixed asset investments             | -             | 20            |
| Foreign exchange gains                          | 71            | 43            |
| And after charging:                             |               |               |
| Depreciation of tangible fixed assets           | 1,590         | 1,590         |
| Amortisation of intangible assets               | 2,067         | 1,617         |
| Auditor's remuneration:                         |               |               |
| Audit of these financial statements             | 53            | 53            |
| Other fees of auditors                          |               |               |
| Tax compliance services                         | 4             | 4             |
| All other non-audit services                    | 6             | 6             |



## 5. OTHER INCOME

Other income includes refunds received on operating leases under the Truck Cartel case of Enil (2024: £118,000)

## 6. OTHER INTEREST RECEIVABLE AND SIMILAR INCOME

|                        | 2025<br>£'000 | 2024<br>£'000 |
|------------------------|---------------|---------------|
| Other finance income   | 164           | 330           |
| Pension related income | 84            | -             |
|                        | 248           | 330           |

## 7. DIRECTORS AND EMPLOYEES

The average number of employees including executive directors during the year is split as follows:

|                | 2025 | 2024 |
|----------------|------|------|
| Administration | 179  | 162  |
| Operational    | 193  | 206  |
|                | 372  | 368  |

### Transactions with key management personnel

Total compensation of key management personnel (including the directors) in the year amounted to £1,651k (2024: £1,618k).

|                                           | 2025<br>£'000 | 2024<br>£'000 |
|-------------------------------------------|---------------|---------------|
| <b>Employee costs:</b>                    |               |               |
| Wages and salaries (including redundancy) | 11,355        | 10,500        |
| Social security                           | 1,107         | 1,017         |
| Pension contribution                      | 911           | 663           |
|                                           | 13,373        | 12,180        |

## 7. DIRECTORS AND EMPLOYEES (continued)

**Directors' remuneration:**

|                                              | 2025<br>£'000 | 2024<br>£'000 |
|----------------------------------------------|---------------|---------------|
| Fees                                         | 18            | 37            |
| Emoluments (excluding pension contributions) | 337           | 330           |
| Benefits in kind                             | 23            | 23            |
| Pension contributions                        | 64            | 65            |
|                                              | <hr/> 442     | <hr/> 455     |

Directors to whom retirement benefits were accruing was as follows:

|                        | 2025    | 2024    |
|------------------------|---------|---------|
| Money purchase schemes | 2       | 2       |
|                        | <hr/> 2 | <hr/> 2 |

The number of directors who exercised share options was

**Highest paid Director:**

|                       | 2025<br>£'000 | 2024<br>£'000 |
|-----------------------|---------------|---------------|
| Emoluments            | 184           | 180           |
| Pension contributions | 50            | 52            |
| Benefits in kind      | 16            | 15            |
|                       | <hr/> 250     | <hr/> 247     |

The highest paid director exercised 1,800 share options during the year (2024: 1,875) at an option price of £5.00 per share (2024: £4.80 per share).

**All Employee Share Ownership Plan (AESOP)**

The AESOP was established to enable employees to continue to share in the success of the company. Free shares are awarded to eligible employees in respect of a financial year if the company makes or exceeds its profit budget for that financial year. The profit budget was not achieved in the current financial year and consequently no provision has been made for the purchase of shares (2024: nil).

Included in the profit and loss account is a credit of £70,000 (2024: £105,000) relating to proceeds from the sale of forfeited shares under the AESOP.

## 8. TAXATION

### Total tax expense recognised in the profit & loss account and other comprehensive income

#### Current tax

Current tax on income for the period

2025  
£'000

2025  
£'000

2024  
£'000

2024  
£'000

716

-

727

5

Total current tax

716

732

#### Deferred tax

Origination and reversal of timing differences

(105)

118

Arising from prior periods

(28)

Deferred tax loss/(gain) on actuarial gain/(loss)

213

(162)

(recognised in other comprehensive income)

Total deferred tax

80

(44)

Total tax

796

688

### Reconciliation of effective tax rate

(Loss)/Profit for the period

2025  
£'000

2024  
£'000

(517)

490

Total tax expense

583

850

Profit excluding taxation

66

1,340

Corporation tax at standard rate

17

335

Income not chargeable for tax purposes

-

(5)

Expenses not deductible for tax purposes

8

35

Other permanent differences

615

503

Market value adjustment in respect of exercised share options

(29)

(23)

Deferred tax credit relating to prior periods

(28)

-

Increase in current tax from adjustment for prior period

-

5

Total tax expense included in profit & loss

583

850

## 9. DIVIDENDS

Amounts recognised as distributions to equity holders in the year:

2025  
£'000

2024  
£'000

630

982

A dividend of 20.0 pence (2024: 30.0 pence) per ordinary share was authorised and paid during the year relating to the previous year's results. Of the dividends paid during the year, £nil (2024: £nil) was paid to the Employee Benefit Trust. The actual dividend paid is lower than proposed due to waiver of dividend on shares held by the Employee Benefit Trust at the declared dividend date.

The directors have authorised an ordinary dividend of 15 pence (2024: 20 pence) per share totalling £566,000 (2024: £755,000). This has not yet been included as a liability in these accounts. The authorised dividends will be paid by 1 November 2025 to shareholders who are on the register of members as at 11 September 2025.

## 10. INTANGIBLE FIXED ASSETS

### Group

|                                      | Goodwill<br>£'000 | Software<br>£'000 | Total<br>£'000 |
|--------------------------------------|-------------------|-------------------|----------------|
| <b>Cost</b>                          |                   |                   |                |
| At 1 June 2024                       | 16,136            | 116               | 16,252         |
| Additions                            | -                 | 11                | 11             |
| Disposals                            | (80)              | -                 | (80)           |
| At 31 May 2025                       | 16,056            | 127               | 16,183         |
| <b>Amortisation</b>                  |                   |                   |                |
| At 1 June 2024                       | 9,091             | 83                | 9,174          |
| Amortisation charge                  | 2,041             | 26                | 2,067          |
| Amortisation eliminated on disposals | (41)              | -                 | (41)           |
| At 31 May 2025                       | 11,091            | 109               | 11,200         |
| <b>Carrying amount</b>               |                   |                   |                |
| At 31 May 2025                       | 4,965             | 18                | 4,983          |
| At 31 May 2024                       | 7,045             | 33                | 7,078          |

### Company

|                                      | Goodwill<br>£'000 | Software<br>£'000 | Total<br>£'000 |
|--------------------------------------|-------------------|-------------------|----------------|
| <b>Cost</b>                          |                   |                   |                |
| At 1 June 2024                       | 10,237            | 116               | 10,353         |
| Additions                            | -                 | 11                | 11             |
| Transfer from investments on hive up | 3,956             | -                 | 3,956          |
| Disposals                            | (80)              | -                 | (80)           |
| At 31 May 2025                       | 14,113            | 127               | 14,240         |
| <b>Amortisation</b>                  |                   |                   |                |
| At 1 June 2024                       | 7,740             | 83                | 7,823          |
| Amortisation charge                  | 1,449             | 26                | 1,475          |
| Amortisation eliminated on disposals | (41)              | -                 | (41)           |
| At 31 May 2024                       | 9,148             | 109               | 9,257          |
| <b>Carrying amount</b>               |                   |                   |                |
| At 31 May 2025                       | 4,965             | 18                | 4,983          |
| At 31 May 2024                       | 2,497             | 33                | 2,530          |

Amortisation charge with respect to intangible assets is included within administrative expenses.

# 11. TANGIBLE FIXED ASSETS

| Group                               | Land and Buildings<br>£'000 | Plant and Machinery<br>£'000 | Vehicles<br>£'000 | Total<br>£'000 |
|-------------------------------------|-----------------------------|------------------------------|-------------------|----------------|
| <b>Cost:</b>                        |                             |                              |                   |                |
| At 1 June 2024                      | 14,285                      | 9,392                        | 1,449             | 25,126         |
| Additions                           | 424                         | 823                          | 150               | 1,397          |
| Disposals                           | (73)                        | (239)                        | (432)             | (744)          |
| At 31 May 2025                      | 14,636                      | 9,976                        | 1,167             | 25,779         |
| <b>Depreciation and Impairment:</b> |                             |                              |                   |                |
| At 1 June 2024                      | 3,732                       | 5,977                        | 772               | 10,481         |
| Charge for year                     | 519                         | 856                          | 215               | 1,590          |
| Disposals                           | (60)                        | (218)                        | (382)             | (660)          |
| At 31 May 2025                      | 4,191                       | 6,615                        | 605               | 11,411         |
| <b>Net book value:</b>              |                             |                              |                   |                |
| At 31 May 2024                      | 10,553                      | 3,415                        | 677               | 14,645         |
| At 31 May 2025                      | 10,445                      | 3,361                        | 562               | 14,368         |

|                                                     |               |               |
|-----------------------------------------------------|---------------|---------------|
| The net book value of land and buildings comprises: | 2025<br>£'000 | 2024<br>£'000 |
| Freehold                                            | 9,687         | 9,861         |
| Long leasehold (over 50 years unexpired)            | 631           | 521           |
| Short leasehold (less than 50 years)                | 127           | 171           |
|                                                     | 10,445        | 10,553        |

**Assets held under finance leases and hire purchase contracts:**  
The net carrying amount of tangible assets includes the following amounts in respect of assets held under finance leases and hire purchase contracts.

|          |               |               |
|----------|---------------|---------------|
|          | 2025<br>£'000 | 2024<br>£'000 |
| Vehicles | 2             | 6             |

# 11. TANGIBLE FIXED ASSETS (continued)

| Company             | Land and Buildings<br>£'000 | Plant and Machinery<br>£'000 | Vehicles<br>£'000 | Total<br>£'00 |
|---------------------|-----------------------------|------------------------------|-------------------|---------------|
| <b>Cost:</b>        |                             |                              |                   |               |
| At 1 June 2024      | 14,247                      | 9,209                        | 1,443             | 24,899        |
| Additions           | 453                         | 899                          | 150               | 1,502         |
| Disposals           | (73)                        | (239)                        | (432)             | (744)         |
| At 31 May 2025      | 14,627                      | 9,869                        | 1,161             | 25,657        |
| <b>Depreciation</b> |                             |                              |                   |               |
| At 1 June 2024      | 3,728                       | 5,906                        | 766               | 10,400        |
| Charge for year     | 514                         | 820                          | 215               | 1,549         |
| Disposals           | (60)                        | (218)                        | (382)             | (660)         |
| At 31 May 2025      | 4,182                       | 6,508                        | 599               | 11,289        |
| Carrying amount:    |                             |                              |                   |               |
| At 31 May 2024      | 10,519                      | 3,303                        | 677               | 14,499        |
| At 31 May 2025      | 10,445                      | 3,361                        | 562               | 14,368        |

|                                                     |               |               |
|-----------------------------------------------------|---------------|---------------|
| The net book value of land and buildings comprises: | 2025<br>£'000 | 2024<br>£'000 |
| Freehold                                            | 9,687         | 9,861         |
| Long leasehold (over 50 years unexpired)            | 631           | 521           |
| Short leasehold (less than 50 years)                | 127           | 137           |
|                                                     | 10,445        | 10,519        |

**Assets held under finance leases and hire purchase contracts:**  
The net carrying amount of tangible assets includes the following amounts in respect of assets held under finance leases and hire purchase contracts.

|          |               |               |
|----------|---------------|---------------|
|          | 2025<br>£'000 | 2024<br>£'000 |
| Vehicles | 2             | 6             |

## 12. INVESTMENT PROPERTIES

Group and Company

### Fair value

At 1 June 2024 and at 31 May 2025

| 2025<br>£'000 | 2024<br>£'000 |
|---------------|---------------|
| 1,005         | 1,005         |

If the investment properties had not been revalued they would have been included at the following historical cost:

|                | 2025<br>£'000 | 2024<br>£'000 |
|----------------|---------------|---------------|
| Cost           | 497           | 497           |
| Carrying value | 365           | 383           |

The investment properties were valued to a fair value on 31 May 2025 by the Directors with reference to the original purchase price paid, independent valuations since the purchase date and current market yields. The properties were last independently valued at July 2017 by Walton Goodland on an open market value basis for current use in accordance with RICS Appraisal and Valuation Manual.

## 13. STOCKS

|                               | Group         |               | Company       |               |
|-------------------------------|---------------|---------------|---------------|---------------|
|                               | 2025<br>£'000 | 2024<br>£'000 | 2025<br>£'000 | 2024<br>£'000 |
| Raw materials and consumables | 526           | 484           | 526           | 480           |
| Finished goods                | 8,289         | 7,149         | 8,289         | 6,113         |
|                               | 8,815         | 7,633         | 8,815         | 6,593         |



# 14. DEBTORS

Amounts falling due within one year

Trade debtors

Other debtors

Prepayments and accrued income

|  | Group         |               | Company       |               |
|--|---------------|---------------|---------------|---------------|
|  | 2025<br>£'000 | 2024<br>£'000 | 2025<br>£'000 | 2024<br>£'000 |
|  | 11,405        | 16,426        | 11,405        | 16,266        |
|  | 1,096         | 583           | 1,096         | 537           |
|  | 1,466         | 1,488         | 1,466         | 1,308         |
|  | 13,967        | 18,497        | 13,967        | 18,111        |

# 15. CREDITORS

## Due within one year

Bank borrowings

Finance lease liabilities

Trade creditors

Corporation tax

Other taxation and social security

Accruals and deferred income

Amount owed to group undertakings

|  | Group         |               | Company       |               |
|--|---------------|---------------|---------------|---------------|
|  | 2025<br>£'000 | 2024<br>£'000 | 2025<br>£'000 | 2024<br>£'000 |
|  | -             | 1,019         | -             | 1,019         |
|  | 2             | 3             | 2             | 3             |
|  | 13,148        | 15,323        | 13,148        | 14,810        |
|  | 366           | 883           | 366           | 720           |
|  | 1,100         | 1,340         | 1,100         | 967           |
|  | 2,515         | 2,471         | 2,514         | 2,367         |
|  | -             | -             | 160           | 2             |
|  | 17,131        | 21,039        | 17,290        | 19,888        |

## Due after one year

Bank borrowings

Finance lease liabilities

|  |   |     |   |     |
|--|---|-----|---|-----|
|  | - | 767 | - | 767 |
|  | 6 | 7   | 6 | 7   |
|  | 6 | 774 | 6 | 774 |

Bank borrowings are secured by fixed and floating charges over the company’s assets.

Finance lease liabilities are secured on the assets to which they relate.

# 16. LEASING AGREEMENTS AND FINANCIAL COMMITMENTS

## Finance Leases

Certain motor vehicles are held under finance lease arrangements. The lease agreements generally include fixed lease payments and a purchase option at the end of lease term.

The total of future minimum lease payments is as follows:

|                                 | 2025<br>£'000 | 2024<br>£'000 |
|---------------------------------|---------------|---------------|
| Within one year                 | 2             | 3             |
| Between one year and five years | 6             | 7             |
|                                 | 8             | 10            |

The total future minimum repayments under non-cancellable operating leases are as follows:

|                                         | 2025<br>£'000 | 2024<br>£'000 |
|-----------------------------------------|---------------|---------------|
| <b>Non cancellable operating leases</b> |               |               |
| Within one year                         | 2,601         | 2,010         |
| Between one and five years              | 7,087         | 6,385         |
| More than five years                    | 6,965         | 5,261         |
|                                         | 16,653        | 13,656        |

Operating leases are primarily in respect of commercial vehicles and the companies operating locations.

The amount of non-cancellable operating lease payments recognised as an expense during the period was £2,391,000 (2024: £2,477,000).

At the year end there were unsettled forward currency contracts amounting to £81,000 (2024: £199,233) in respect of hedging of currency risk in relation to the purchase of certain stock items. No asset or liability has been recognised as the directors do not believe the impact to be material to the financial statements.

## Operating leases - lessor

The total of future minimum lease receivables is as follows:

|                            | 2025<br>£'000 | 2024<br>£'000 |
|----------------------------|---------------|---------------|
| Within one year            | 149           | 116           |
| Between one and five years | 536           | 236           |
| More than five years       | 201           | 23            |
|                            | 886           | 375           |

## 17. CALLED UP SHARE CAPITAL

|                                                                       | 2025<br>£'000 | 2024<br>£'000 |
|-----------------------------------------------------------------------|---------------|---------------|
| Allotted, called up and fully paid<br>3,773,352 ordinary shares of £1 | 3,773         | 3,773         |

All shares which rank equally carry no fixed right to income. At the end of the financial year, options for 172,708 shares (2024: 178,033 ) were held by employees under the company's save as you earn share option scheme.

## 18. DEFERRED TAX ASSETS AND LIABILITIES

Group

|                                       | £'000 |
|---------------------------------------|-------|
| <b>Movements in the period</b>        |       |
| Liability at 1 June 2024              | 1,024 |
| Credited to profit or loss            | (133) |
| Charged to other comprehensive income | 213   |
|                                       |       |
| Liability at 31 May 2025              | 1,104 |

The total deferred taxation at 25% (2024: 25%) is as follows:

|                                                      | 2025<br>£'000 | 2024<br>£'000 |
|------------------------------------------------------|---------------|---------------|
| <b>Timing differences</b>                            |               |               |
| Accelerated capital allowances                       | 1,116         | 1,068         |
| Available losses                                     | (352)         | (352)         |
| Capital gains rolled over                            | 225           | 225           |
| Investment property valuations                       | 127           | 127           |
| Deferred tax on retirement benefit asset/(liability) | -             | -             |
| Other                                                | (12)          | (44)          |
|                                                      |               |               |
|                                                      | 1,104         | 1,024         |

The expected net reversal of deferred tax in the following year is £272,000. This excludes any movement pertaining to deferred tax on retirement benefit obligations as it is not possible to estimate the expected unwind.

# 18. DEFERRED TAX ASSETS AND LIABILITIES (continued)

| Company                               | £'000 |
|---------------------------------------|-------|
| <b>Movements in the period</b>        |       |
| Asset at 1 June 2024                  | 993   |
| Credited to profit or loss            | (102) |
| Charged to other comprehensive income | 213   |
|                                       | <hr/> |
|                                       | 1,104 |
|                                       | <hr/> |

The total deferred taxation at 25% (2024: 25%) is as follows:

|                                              | 2025<br>£'000 | 2024<br>£'000 |
|----------------------------------------------|---------------|---------------|
| <b>Timing differences</b>                    |               |               |
| Accelerated capital allowances               | 1,116         | 1,037         |
| Available losses                             | (352)         | (352)         |
| Capital gains rolled over                    | 225           | 225           |
| Investment property valuations               | 127           | 127           |
| Deferred tax on retirement benefit liability | -             | -             |
| Other                                        | (12)          | (44)          |
|                                              | <hr/>         | <hr/>         |
|                                              | 1,104         | 993           |

The expected net reversal of deferred tax in the following year is £272,000. This excludes any movement pertaining to deferred tax on retirement benefit obligations as it is not possible to estimate the expected unwind.

# 19. INVESTMENTS IN SUBSIDIARIES

| Company                       | £'000   |
|-------------------------------|---------|
| <b>Subsidiaries</b>           |         |
| <b>Cost</b>                   |         |
| At 1 June 2024                | 7,786   |
| Transfer out goodwill hive up | (5,051) |
|                               | <hr/>   |
| At 31 May 2025                | 2,735   |
|                               | <hr/>   |
| <b>Provision</b>              |         |
| At 1 June 2024                | 1,255   |
| Provision                     | 1,321   |
|                               | <hr/>   |
| At 31 May 2025                | 2,576   |
|                               | <hr/>   |
| <b>Carrying amount</b>        |         |
| At 31 May 2025                | 159     |
|                               | <hr/>   |
| At 31 May 2024                | 6,531   |
|                               | <hr/>   |

On 1 January 2025 the trade and assets of subsidiary, Bella Di Notte Ltd, were hived up into WCF Ltd, resulting in the transfer of goodwill out of the cost of the investment.

## 19. INVESTMENTS IN SUBSIDIARIES (continued)

Company

| Undertaking                             | Registered office                                                                                | Holding  | Proportion of voting rights and shares held |      |
|-----------------------------------------|--------------------------------------------------------------------------------------------------|----------|---------------------------------------------|------|
|                                         |                                                                                                  |          | 2025                                        | 2024 |
| <b>Subsidiary undertakings</b>          |                                                                                                  |          |                                             |      |
| A1 Lawn Limited                         | Craw Hall, Brampton<br>Cumbria CA8 1TN                                                           | Ordinary | 100%                                        | 100% |
| Progreen Weed Control Solutions Limited | Craw Hall, Brampton<br>Cumbria CA8 1TN                                                           | Ordinary | 100%                                        | 100% |
| Longnor Wood Holiday Park Limited       | Craw Hall, Brampton<br>Cumbria CA8 1TN                                                           | Ordinary | 100%                                        | 100% |
| Bella Di Notte Limited                  | Malton Enterprise Park<br>6 Cherry Farm Close<br>(Unit 1) Malton,<br>North Yorkshire<br>YO16 6AD | Ordinary | 100%                                        | 100% |

For the period ending 31 May 2025 the subsidiaries A1 Lawn Limited, Progreen Weed Control Solutions Limited and Longnor Wood Holiday Park Limited were entitled to exemption from audit under section 480 of the Companies Act 2006 relating to dormant companies.

A1 Lawn Limited, Progreen Weed Control Solutions Limited, Longnor Wood Holiday Park Limited were dissolved on 8 July 2025, 17 June 2025, 3 June 2025 respectively.

For the period ending 31 May 2025 the subsidiary Bella Di Notte was entitled to exemption from audit under section 479A of the Companies Act 2006 relating to subsidiary companies. WCF Ltd has guaranteed all outstanding liabilities of Bella Di Notte at 31 May 2025 until those liabilities are settled. Bella Di Notte has a coterminous period end with WCF Ltd and is included in the group consolidation.

## 20. PENSION COMMITMENTS

Group and Company

The company operates a defined benefit scheme in the UK, namely the WCF Ltd Staff Retirement Benefits Scheme ('the Scheme'). As the scheme closed to future accrual on 1 April 2016 no ordinary contributions were made in the year.

The major assumptions used by the independent, qualified actuary in producing this year's FRS 102 disclosures were:

|                                         | 31/05/2025 | 31/05/2024 |
|-----------------------------------------|------------|------------|
| Discount rate                           | 5.80%      | 5.20%      |
| Inflation rate                          | 2.80%      | 3.00%      |
| Rate of increase in pensions in payment | 2.75%      | 2.95%      |

## 20. PENSION COMMITMENTS (continued)

### Group and Company

The date of the most recent comprehensive actuarial valuation was 1 April 2023 and was updated for FRS 102 purposes to 31 May 2025 by a qualified independent actuary. The company agreed to pay £833,333 per annum up to 31 March 2026 and £100,000 per annum to cover expected scheme expenses.

During the year the Trustees of the scheme entered into a buy-in contract with an insurer which matches all future benefit payments to members of the scheme who had not yet retired at the purchase date. Following completion of the buy-in agreement the scheme holds a number of annuity policies in respect of members who had not yet retired at that time. The difference between the purchase price and the value of the liabilities that the contract covers of £1,527,000 has been recognised as a settlement loss in the profit and loss account.

The company has provided for the rate of increase of inflation - linked pensions in payment and in deferment to be linked to one CPI measure of inflation with effect from 1st April 2012.

Under FRS 102 the expected return on assets has been set up for the current year to equal the discount rate of 5.80% (2024: 5.20%) and does not reflect the expected return on the actual scheme assets.

The following table shows the life expectancies for example members each year, based on the assumed mortality tables for this year and last year.

| <i>Life expectancy (years)</i>     | 31/05/2025 | 31/05/2024 |                     |
|------------------------------------|------------|------------|---------------------|
| Current pensioner aged 65 (male)   | 21.0       | 21.0       |                     |
| Current pensioner aged 65 (female) | 24.0       | 24.0       |                     |
| Future pensioner aged 65 (male)*   | 23.0       | 22.0       |                     |
| Future pensioner aged 65 (female)* | 25.0       | 25.0       | *Currently aged 45. |

As at 31 May 2025, all members were assumed to commute part of their pension in order to receive tax-free cash in line with the post 'A-Day' maximum.

The amounts recognised in the balance sheet are as follows:

|                                                   | 2025<br>£'000 | 2024<br>£'000 |
|---------------------------------------------------|---------------|---------------|
| Funded defined benefit obligation                 | (7,589)       | (8,348)       |
| Fair value of plan assets                         | 7,928         | 9,675         |
|                                                   | 339           | 1,327         |
| Other amounts not recognised in the balance sheet | (339)         | (1,327)       |
| Defined benefit pension scheme surplus            | -             | -             |

In accordance with paragraph 28.22 of FRS 102 the plan surplus on the defined benefit pension scheme is not expected to be recoverable by way of unconditional rights to refunds or through reductions in future contributions. As such the surplus has not been recognised at 31 May 2025.

The amounts recognised in the profit and loss account are as follows:

|                                | 2025<br>£'000 | 2024<br>£'000 |
|--------------------------------|---------------|---------------|
| Administration expenses        | 341           | 154           |
| Interest cost                  | 424           | 536           |
| Expected return on plan assets | (508)         | (560)         |
| Losses on settlements          | 1,527         | 242           |
| <b>Profit and loss charge</b>  | <b>1,784</b>  | <b>372</b>    |

## 20. PENSION COMMITMENTS (continued)

Changes in the present value of the defined benefit obligation are as follows:

|                                                  | 2025<br>£'000 | 2024<br>£'000 |
|--------------------------------------------------|---------------|---------------|
| Defined benefit obligation at start of year      | 8,348         | 10,255        |
| Interest cost                                    | 424           | 536           |
| Actuarial gains                                  | (797)         | (688)         |
| Benefits and expenses paid                       | (386)         | (129)         |
| Liabilities extinguished on settlements          | -             | (1,626)       |
| <b>Defined benefit obligation at end of year</b> | <b>7,589</b>  | <b>8,348</b>  |

Changes in the fair value of plan assets are as follows:

|                                                      | 2025<br>£'000 | 2024<br>£'000 |
|------------------------------------------------------|---------------|---------------|
| Plan assets at start of year                         | 9,675         | 10,340        |
| Employer contributions - administration contribution | 100           | 100           |
| Employer contributions - actuarial deficit funding   | 833           | 833           |
| Expected return on assets                            | 508           | 560           |
| Actuarial losses on plan assets                      | (934)         | (7)           |
| Benefits and expenses paid                           | (727)         | (283)         |
| Assets distributed on settlements                    | (1,527)       | (1,868)       |
| <b>Plan assets at end of year</b>                    | <b>7,928</b>  | <b>9,675</b>  |
| Actual return on assets                              | (426)         | 553           |

The major categories of plan assets as a percentage of total plan assets are as follows:

| <b>Proportion of total assets</b> | 2025  | 2024  |
|-----------------------------------|-------|-------|
| Cash                              | -     | 14.5% |
| LDI                               | 17.7% | -     |
| Corporate Bonds                   | 11.1% | 52.1% |
| Index-linked gilts                | -     | 33.4% |
| Insured annuity contract          | 71.2% | -     |

The amounts recognised in the statement of other comprehensive income are as follows:

|                                                                            | 2025<br>£'000 | 2024<br>£'000 |
|----------------------------------------------------------------------------|---------------|---------------|
| Actuarial gain/(losses)                                                    | 851           | (646)         |
| <b>Total expense recognised in statement of other comprehensive income</b> | <b>851</b>    | <b>(646)</b>  |

## 21. ULTIMATE CONTROLLING PARTY

The company is owned by a large number of shareholders and as such there is no single ultimate controlling party.

## 22. SHARE-BASED PAYMENTS

Group and Company

The group has calculated the charge on share-based payments in relation to Save As You Earn (SAYE) options granted after 7 November 2002. Neither the charge nor the adjustment to opening reserves are deemed to be material in relation to the accounts and accordingly no adjustment has been made.

The company had one SAYE equity-settled option scheme in operation during the year with a grant date following 7 November 2002. This permits the grant of options to employees in respect of ordinary shares linked to a SAYE contract for a term of three or five years, with contributions from employees of an amount between £5 and £500 per month. Options are capable of being exercised at the end of the option period at a subscription price of 80% of the market value of the shares at the time of the offer.

At 31 May 2025 there were 172,708 options outstanding.

The number and weighted average exercise prices of share options are as follows:

|                                            | Weighted<br>average<br>exercise price<br>2025 | Number<br>of options<br>2025 | Weighted<br>average<br>exercise price<br>2024 | Number<br>of options<br>2024 |
|--------------------------------------------|-----------------------------------------------|------------------------------|-----------------------------------------------|------------------------------|
| Outstanding at the beginning of the period | 5.19                                          | 178,033                      | 4.87                                          | 148,677                      |
| Forfeited during the period                | 5.44                                          | (18,456)                     | 4.89                                          | (20,466)                     |
| Exercised during the period                | 4.96                                          | (56,989)                     | 4.73                                          | (40,059)                     |
| Granted during the period                  | 5.60                                          | 70,120                       | 5.48                                          | 89,881                       |
| Outstanding at the end of the period       | 5.40                                          | 172,708                      | 5.19                                          | 178,033                      |
| Exercisable at the end of the period       | 5.40                                          | 172,708                      | 5.19                                          | 178,033                      |

The fair value of the share options at the date of grant was estimated using the Black-Scholes option pricing model. The following table gives the assumptions applied:

|                         |           |                         |                            |
|-------------------------|-----------|-------------------------|----------------------------|
| Expected dividend yield | 6.3%      | Expected life of option | 3 or 5 years               |
| Expected volatility     | 23% - 43% | Underlying share price  | 600, 625, 685 or 700 pence |
| Risk-free interest rate | 5.00%     | Exercise share price    | 480, 500, 548 or 560 pence |



## 23. ANALYSIS OF CHANGES IN NET FUNDS

Group

|                                  | At 1 June<br>2024<br>£'000 | Financing<br>cash flows<br>£'000 | Other cash<br>flows<br>£'000 | At 31 May<br>2025<br>£'000 |
|----------------------------------|----------------------------|----------------------------------|------------------------------|----------------------------|
| <b>Cash and cash equivalents</b> |                            |                                  |                              |                            |
| Cash in bank and in hand         | 9,992                      | (1,788)                          | 1,236                        | 9,440                      |
| <b>Borrowings</b>                |                            |                                  |                              |                            |
| Bank borrowings                  | (1,786)                    | 1,786                            | -                            | -                          |
| Lease liabilities                | (10)                       | 2                                | -                            | (8)                        |
|                                  | (1,796)                    | 1,788                            | -                            | (8)                        |
|                                  | 8,196                      | -                                | 1,236                        | 9,432                      |

## 24. RESERVES

**Retained earnings**

**Capital redemption reserve**

**Investment in own shares**

**Fair value reserve**

- cumulative profit and loss net of distributions
- the nominal value of shares repurchased and still held at the end of the reporting period
- relates to the shares held within the Employee Benefit Trust.
- is the cumulative fair value gains and losses relating to investment properties measured at fair value

# WCF LTD - DIVIDEND POLICY

## DIVIDEND POLICY

The dividend policy of WCF shall be linked to annual earnings and calculated as follows:

### **Not less than 30% of profit before non-recurring items excluding the impact of any financial accounting adjustments**

This means that shareholder income is directly linked to the current financial success of the company. It is the Board's objective to grow profits annually and we expect this to result in progressive dividend growth for our shareholders. However, shareholders should be aware that a large part of WCF's income comes from bulk fuel oil distribution. By its very nature this is a seasonal business and profits can sometimes be affected by circumstances beyond our control. This has the risk of some volatility of dividend payments going forward. The directors recognise that our shareholders value sustainable dividend growth and will aim to smooth the distribution from retained profits by varying the % pay-out. However, shareholders have the opportunity to benefit financially in a good year.

When setting its dividend policy, the Directors of WCF Ltd have considered several factors when deciding what portion of profits should be paid out to our shareholders, all who own a minority interest, in the form of an annual dividend. Any remaining profits will be shared amongst our employees and re-invested into the company for future:

- Share purchases from those shareholders who wish to sell their shares
- Maintenance and investment in our facilities
- Investment in new sites
- Acquisition opportunities
- New business development
- Credit rating with major supply partners
- Pension funding obligations

The Directors may, at their discretion, agree a special dividend in relation to profits arising from exceptional items.

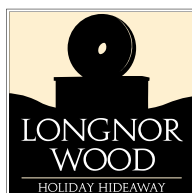
Dividends will be paid annually by November. Any shareholder wishing to receive an annual dividend payment must provide the company with their bank details so that these payments can be made electronically as we no longer make payments by cheque.



## Our Brands



*Bella di Notte*



WCF Ltd., Head Office: Craw Hall, Brampton, Cumbria CA8 1TN